

PRODUCT CASE STUDY

PhonePe

Trust in the Money Gap

A teardown of the moment between “debited” and “credited” — where India's largest UPI app goes silent while a reversal is already under way, and loses trust it did not need to lose.

AIM · UNCERTAINTY → CONFIDENCE

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Product Management Case Study · 2026

WHAT THIS STUDY FOUND

The refund already works

Auto-reversal within regulated turnaround times, usually inside a day.

The data already arrives

NPCI's UDIR framework pushes status to the payer app.

Only the telling is missing

1 of 9 affected users could find out what was happening unaided.

Directional study — n=20 survey plus primary-source documentation. Limits stated on slide 4.

OVERVIEW

About PhonePe

Every figure below is dated and traced to PhonePe's own filings or NPCI data.

Founded in 2016 and headquartered in Bengaluru, PhonePe is India's largest UPI app by both transaction volume and value. Its separation from Flipkart completed in 2022, and it moved its domicile from Singapore to India in October 2022 ahead of a domestic listing.

Walmart holds 71.77% through WM Digital Commerce Holdings, with General Atlantic at 8.89%. The business has expanded well beyond payments into insurance and lending distribution, mutual funds and stock broking via Share.Market — all of which ask users to trust it with more money, not less.

It remains loss-making. The equity story rests on converting payment habit into financial-services revenue, which makes user trust a commercial input rather than a soft metric.

65.8 crore

registered users, of which 23.8 crore monthly active (30 Sept 2025)

Over 45%

of UPI transaction volume — the largest share of any app (NPCI)

₹7,115 crore

FY25 revenue from operations, up 40% from ₹5,064 crore in FY24

₹1,727 crore

FY25 net loss, narrowed from ₹1,996 crore the previous year

WHY SCALE MAKES THIS URGENT

In December 2025 PhonePe processed 9.8 billion customer-initiated transactions worth ₹13.6 lakh crore — roughly 315 million a day. At that volume, a failure rate of even a tenth of one percent puts hundreds of thousands of people into the debited-but-unconfirmed gap every single day. The problem does not need to be common to be enormous.

Sources: PhonePe UDRHP filed with SEBI, 21 January 2026 (user, merchant, revenue and loss figures as at 30 September 2025 / FY25); NPCI UPI ecosystem statistics. Market-share percentages move month to month — cite the month when quoting.

CONTEXT

Why This Problem, Why Now

Four pressures that make post-failure trust a commercial question, not a UX nicety.

A LISTING THAT IS PAUSED, NOT CANCELLED

PhonePe pre-filed confidentially in September 2025, received SEBI approval and filed its updated DRHP in January 2026 at a target near \$15 billion. In March 2026 it postponed the listing on market volatility, with reported valuation talk falling to \$9–10.5 billion. The approval window remains open — so the scrutiny is deferred, not avoided.

THE DUOPOLY IS CRACKING

PhonePe and Google Pay's combined UPI share fell below 80% for the first time since NPCI began publishing app-level data, down from 86% in May 2024. BHIM, Navi, super.money and WhatsApp Pay are all taking share. Switching costs on UPI are close to zero, and a bad failure experience is exactly what prompts a switch.

THE 30% CAP IS DEFERRED, NOT DROPPED

NPCI's proposed 30% cap on any single UPI app's transaction volume now takes effect at the end of December 2026. With share above 45%, PhonePe is well over the line, and reporting in April 2026 described rival platforms lobbying for enforcement. Growth by acquisition may get capped; retention becomes the lever.

THE EQUITY STORY DEPENDS ON TRUST

UPI payments earn PhonePe almost nothing directly. The valuation rests on cross-selling insurance, lending and broking to the same users. Every one of those products requires a user to hand over more money on more faith — which a single unexplained failed payment undermines.

THE THROUGH-LINE

Each pressure points the same way: PhonePe can no longer grow purely by adding users, and it is asking those users for deeper financial trust just as competitors get easier to switch to. That makes what happens after a payment fails a retention problem with a number attached.

Sources: Reuters and SEBI filing reporting on the PhonePe IPO (Sept 2025 – Mar 2026); NPCI app-level UPI statistics; NPCI market-share cap deferral announcement. IPO status as at September 2026 — verify before presenting.

METHODOLOGY

How This Case Study Was Built

One self-run survey, plus primary-source documentation. Every figure in this deck traces to one of the four below.

01

PRIMARY PULSE SURVEY

Google Form distributed through WhatsApp groups, classmates and family contacts, 4–9 August 2026. 20 responses, 13 confirmed current PhonePe users.

02

OFFICIAL DOCUMENTATION

PhonePe's published Grievance Policy (16 July 2026) and merchant documentation on failed UPI transactions — used to establish refund windows, liability limits and escalation paths.

03

REGULATORY & NETWORK REVIEW

RBI's Turn Around Time and Online Dispute Resolution circulars, and NPCI's UDIR circular — used to establish what the rails already support and what apps are already required to do.

04

COMPLAINT & BENCHMARK REVIEW

Publicly available complaints on PissedConsumer scanned for recurring failure patterns. App-level comparison cited from Dvara Research's published six-app study.

SCOPE & LIMITS

The survey is a convenience sample from the author's own network — urban, salaried, with no merchant respondents. Complaint review was qualitative scanning, not a quantified sample. App-level benchmarking is cited from a 2023 third-party study and was not independently re-verified.

The three proposed solutions were built as an interactive clickable prototype to test the flow end to end. It has not yet been user-tested.

The Refund Already Works. Nobody Tells the User.

Every fact on this slide comes from PhonePe's own published documentation.

WHAT THE SYSTEM DOES

Failed UPI debits auto-reverse within T+1 day (P2P) or T+5 days (merchant). Most complete within hours. PhonePe's merchant documentation states no manual refund request is typically needed.

WHAT PHONEPE DISCLOSES

Refund initiation can be instant; the 3–10 day figure is how long the amount takes to reflect, depending on payment instrument. Public in the Grievance Policy, never surfaced in-app at the moment of failure.

WHAT THE USER SEES

“Failed.” A spinner. No stage, no timer, no deadline, no signal that a reversal is already in motion. Nothing separates a 40-second delay from lost money.

THE COST OF SILENCE

The refund is automatic, regulated, and usually fast. The user has no way to know that — so they do the only thing available to them: chase it. In this study's survey, 4 of 9 affected users contacted support for a process that was already running without them. And the silence isn't only stressful. PhonePe's policy already contains protections most users never see:

- Zero liability on unauthorised transactions reported within 3 days — capped at ₹10,000 per transaction at 4–7 days, discretionary beyond that
- Notional wallet credit if an investigation runs past 10 days, converting to actual credit at 90 days

A user who waits quietly, hoping it resolves itself, can cross a liability threshold without ever being told one exists.

Sources: PhonePe Grievance Policy dated 16 July 2026 (phonepe.com/grievance-policy), sections 5.1 and 5.2; PhonePe merchant documentation on failed UPI transactions (business.phonepe.com). Both verified September 2026.

PULSE SURVEY — n=20 RESPONSES, 13 SCREENED PHONEPE USERS

Primary Research — What Users Told Us

Directional signal from a small, self-recruited sample — read as a sanity check on the desk research, not as proof.

9 of 13

users had experienced — or couldn't tell whether they'd experienced — a payment showing failed or pending while money was debited

1 of 9

affected users could check status or raise a dispute easily, without contacting support

8 of 12

named refund speed, certainty or status clarity as the top trust driver — unprompted, in their own words

3.1 vs 1.75

average anxiety (1–5) among affected or unsure users, against those never affected

IN THEIR OWN WORDS

“An instant automated reversal guarantee for money debited”

“Immediate status of failed payments rather than 2 hours of processing”

“Clear updates on refund status”

“If my money comes back” — on what would rebuild trust

THE REFRAME

No respondent reported waiting anywhere near the 3–10 day window. Of the 9 affected users, 4 were resolved same-day, 4 within 1–3 days and 1 within 4–7. Yet anxiety still ran nearly double that of unaffected users, and only 1 of the 9 could find out what was happening on their own.

The wait isn't long. It's silent. That moves the problem from refund speed to in-flight communication — which is far cheaper to fix.

Limitations: n=20 is directional, not statistically powered; respondents were recruited from the author's own network (urban, salaried, no merchants). The anxiety question was conditional but answered by all respondents, so the 1.75 baseline reflects anticipated rather than experienced anxiety. Recommendation intent was measured on a 1–5 scale and is not NPS. Source: author-run Google Form, 4–9 August 2026.

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The Rails Already Support This. The Apps Don't.

Sourced from NPCI and RBI circulars and one independent multi-app study — not a self-run app teardown.

WHAT THE RAILS PROVIDE

NPCI's UDIR framework (2020) polls transaction status continuously, lets users raise a dispute in-app, auto-routes it to the responsible bank or PSP, and pushes status updates and refund confirmation back to the sender's app.

WHAT REGULATION REQUIRES

RBI mandated online dispute resolution for payment operators in 2020. NPCI's UDIR circular requires payer apps to enable in-app disputes. RBI's TAT circular sets T+1 reversal for UPI plus ₹100/day compensation for delay — payable without the user asking.

WHAT THE APPS DELIVER

An independent study of six UPI apps found only four let users raise a complaint in-app. Grievance options sat a level deeper in transaction history, often in a screen corner. One issued no ticket number. None displayed complaint status or expected TAT prominently.

THE GAP

Live status, refund confirmation, one-tap dispute — the rails already support all three, and NPCI already requires the third. The failure is at the presentation layer, and it is industry-wide.

That reframes the opportunity. This isn't a bank-integration project; it's a UX and compliance gap any app could close and none has. Which is also why it's still open.

Sources: NPCI, UDIR — Enhancing Complaint Handling & Resolution for UPI Transactions (Nov 2020); RBI, Online Dispute Resolution for Digital Payments (Aug 2020); RBI, Harmonisation of Turn Around Time, DPSS.CO.PD No.629/02.01.014/2019-20 (Sept 2019); Dvara Research, "Do UPI In-App Grievance Redress Mechanisms work for constrained users?" (Mar 2023, six apps, anonymised). App-level findings are from 2023 and were not independently re-verified for this study.

USER PERSONA

Divya Menon, 27

A composite of the 13 screened respondents in this study's survey — not an individual interview.

"It's not the failure that scares me — it's not knowing if my money is just... gone."

THE EVERYDAY PAYER

Segment this study is scoped to

OCCUPATION

Marketing executive, Bengaluru

INCOME

~₹11 LPA, salaried

PHONEPE USAGE

Daily — rent, bills, splitting expenses

BEHAVIOUR

- PhonePe is the default for nearly all daily spending and P2P transfers
- Keeps 2–3 banking apps but rarely opens them
- Trusts the app enough not to double-check most payments
- Trades payment horror stories with friends — social proof matters

PAIN POINTS (FROM SURVEY DATA)

- Has had a payment show failed or pending while money was debited — or couldn't tell whether it had
- Could not check status or raise a dispute without contacting support
- Learned refund timelines only after an incident, never before

WHAT SHE NEEDS

- Clarity the moment something looks wrong, not silence
- A concrete deadline instead of “please wait”
- A reason to keep PhonePe as her default after a bad moment

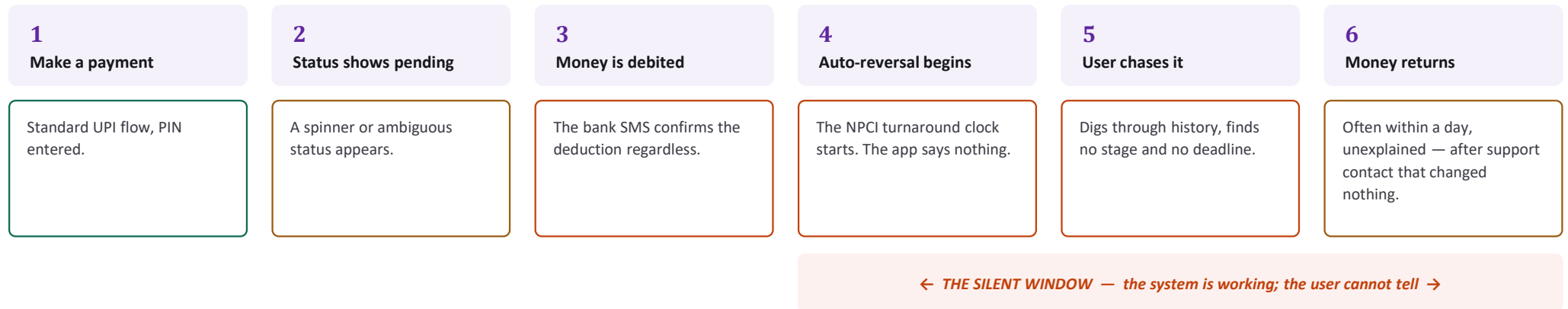
WHY THERE IS ONLY ONE PERSONA

An earlier draft included a small-merchant persona. It was removed: this study gathered no merchant respondents, and neither the survey nor the documentary sources carry merchant-side evidence. Merchants plausibly feel this problem more acutely, since a delayed payment is lost working capital — but that is a hypothesis to test, not a finding to present. The case study is therefore scoped honestly to the everyday payer.

JOURNEY MAPPING

User Journey — Failed Transaction Flow

The system starts working at step 4. The user finds out at step 6.



WHERE TRUST IS ACTUALLY LOST

The emotional low point is not the failure. It is steps 4 to 6 — where an automatic, regulated reversal is already under way and the app communicates none of it. In this study's survey, resolution was same-day for 4 of 9 affected users and within 1–3 days for another 4, yet average anxiety ran nearly double that of unaffected users and only 1 of the 9 could find out what was happening unaided.

Step 6 is the quiet damage: the money comes back, but nothing ever explains what happened, so the user learns that PhonePe is unpredictable rather than that it is reliable.

SOLUTION 1

The Live Money Trail

Render the stage data the payment rails already deliver.

PROBLEM

Users see Success, Failed, or a spinner — nothing in between. 9 of 13 surveyed users had hit this, or couldn't tell whether they had. Only 1 of the 9 affected could find out what was happening without contacting support.

WHAT WE DO

Replace the binary status with a timestamped trail: Debited → In transit → At recipient's bank → Credited or Reversed. NPCI's UDIR framework already pushes status and refund confirmation to the payer app; this renders it instead of discarding it.

VALUE TO THE USER

- Removes the biggest source of transaction anxiety — not knowing
- Lets users see whether a delay is bank-side or app-side, and stop chasing
- Presentation-layer work, so no new bank integration is required

CONSTRAINT WORTH NAMING

In merchant flows NPCI returns success or failed with no intermediate state, and status can arrive late. The trail must therefore degrade honestly — showing “awaiting confirmation from the recipient's bank” rather than inventing a stage it cannot verify. Overstating precision here would trade one trust problem for a worse one.

OLD — BINARY STATUS

“Pending...” with a spinner. The user cannot tell whether this resolves in ten seconds or ten days, or which party is holding things up.



NEW — GRANULAR TRAIL

“Debited ✓ → In transit ✓ → At recipient's bank (as of 2:16 PM)”, updated live, with the next stage named. A delay becomes a location, not a void.

SOLUTION 2

The Refund Guarantee Timer

Two protections already exist. Neither is visible when it matters.

PROBLEM

RBI mandates auto-reversal within T+1 for UPI, with ₹100 per day of delay payable without the user asking. PhonePe separately discloses a 3–10 day reflection window. The user is shown neither, and 8 of 12 surveyed users named refund certainty as their top trust driver, unprompted.

WHAT WE DO

The moment a reversal is triggered, show the guaranteed-by deadline derived from the applicable TAT, a live countdown, and push notifications at each status change. If the deadline passes, surface the compensation the user is owed and name who owes it.

VALUE TO THE USER

- Converts an existing policy and a statutory entitlement into a visible promise
- Removes the need to contact support purely to ask “when?”
- Zero new operational cost — the obligation already exists either way

ACCURACY THAT MATTERS

The ₹100/day compensation is owed by the bank, not by PhonePe — PhonePe is a TPAP, not the account holder's bank. So the feature discloses and tracks the entitlement; it does not promise to pay it. The deadline shown must also derive from the real TAT rather than an invented figure, which is the one change needed in the current prototype.

OLD — SILENT WAIT

A refund is “processing” somewhere in the backend. No deadline, no progress, no entitlement disclosed. Many users contact support just to ask when.



NEW — VISIBLE DEADLINE

“Reversal guaranteed by 6 PM tomorrow” with a live progress bar, a push notification the moment it lands, and a plain-language note on the compensation due if it doesn't.

SOLUTION 3

One-Tap Dispute Resolution

NPCI already requires this. The gap is placement and follow-through.

PROBLEM

Raising a dispute means re-entering the amount, date, recipient and UTR that PhonePe already holds. Only 1 of 9 affected users could do it without contacting support. NPCI's UDIR circular already requires payer apps to support in-app disputes.

WHAT WE DO

Put “Dispute this transaction” on the transaction screen itself. Pre-fill everything known, ask only what went wrong, submit through UDIR so it auto-routes to the responsible party, and return a visible ticket ID with tracked status.

VALUE TO THE USER

- Cuts filing from a multi-step form to well under a minute
- A ticket ID and live status close the tracking gap found across UPI apps
- Pre-filled data raises ticket quality, speeding resolution on the back end

SCOPE BOUNDARY

This covers payment-failure disputes only. Under PhonePe's own Grievance Policy (§7), disputes about goods or services route through the user's bank or NPCI as a chargeback, with the acquiring bank bringing the case to PhonePe. The feature should hand those off explicitly rather than appear to accept them — a false intake point is worse than none.

OLD — MANUAL FORM

The user opens a generic support flow, hunts for the right category, and re-enters details already on record — slow and error-prone under stress.



NEW — PRE-FILLED, ONE TAP

A dispute button on the transaction screen opens a form already carrying UTR, amount, date and recipient. The user adds only what went wrong, then tracks it by ID.

ROADMAP INPUT

Prioritisation — Impact vs. Effort

All three solutions sit at the presentation layer. None requires new bank integration.

Solution	Why it lands here	Impact	Effort	Priority	Primary Metric
Refund Guarantee Timer	Surfaces a policy and a compensation entitlement that already exist. No new data dependency at all.	High	Low	P0	Support Contact Rate (refund-related)
The Live Money Trail	UDIR already pushes stage status and refund confirmation to the payer app. The work is rendering data PhonePe receives.	High	Medium	P0	Transaction Status Clarity CSAT
One-Tap Dispute Resolution	NPCI already mandates in-app dispute raising. Scoped to payment-failure tickets; goods disputes route via bank/NPCI chargeback.	Medium	Medium	P1	Dispute Filing Completion Rate

SEQUENCING LOGIC

The Refund Guarantee Timer ships first. It needs no data PhonePe doesn't already have, and it addresses the single most-named trust driver in the survey. The Live Money Trail follows once UDIR status is surfaced consistently, and One-Tap Dispute last, since it depends on the trail existing to anchor the pre-filled form.

Revised estimate: the Live Money Trail was initially scored High effort on the assumption it required bank-side integration. Reviewing NPCI's UDIR framework showed that status and refund data already reach the payer app, so the estimate was lowered to Medium.

MEASURING SUCCESS

Metrics

One north star, three tiers beneath it, and one number that argues against the thesis.

NORTH STAR METRIC

Post-Failure Trust Recovery Rate

The share of users who return to their pre-incident transaction frequency within 30 days of a failed or pending payment. It measures whether trust survives a bad moment, rather than whether a feature was tapped.

Pilot baseline (n=13): average anxiety 3.1 / 5 among affected or unsure users, against 1.75 / 5 for those never affected.

L1 — CLARITY SIGNALS

- Transaction Status Clarity CSAT
- Stage-visibility coverage: share of pending payments showing a named stage
- Refund SLA adherence against the applicable turnaround time

L2 — SELF-SERVE SIGNALS

- Support contact rate for refund status
- Dispute filing completion rate, filed versus abandoned
- Self-serve status checks per failed payment

L3 — BUSINESS SIGNALS

- Recommendation intent post-incident (1–5 scale, not NPS)
- 30-day retention of affected users against a matched control
- Cross-sell uptake among users who had an incident

THE NUMBER THAT CUTS AGAINST THIS

In this study's survey, recommendation intent was effectively flat: 3.4 out of 5 among affected or unsure users versus 3.5 among those never affected. Users reported real anxiety, but did not report being less willing to recommend PhonePe.

That matters for how the north star gets validated. Attitudinal survey data cannot carry this thesis — it needs behavioural evidence, which is exactly why the metric is defined as a return to prior transaction frequency rather than as a reported sentiment score.

NEXT STEPS

What I Would Do Next

Ordered by what would most change the conclusions, not by what is easiest.

01 Scale the survey, and include merchants

Take n=20 to 100+ screened respondents outside the author's own network, and recruit small merchants specifically. The merchant hypothesis is the largest untested claim adjacent to this study.

02 Validate the UDIR assumption

The effort estimate for the Live Money Trail rests on what status data actually reaches a payer app in practice, not on what the circulars permit. Confirming that with a TPAP engineer would either strengthen or collapse the P0 call.

03 User-test the prototype against the baseline

Run the clickable prototype with 5 users who have experienced a failure and measure whether self-reported anxiety falls from the 3.1 / 5 baseline. Also fix the prototype's refund deadline to derive from the real turnaround time.

04 Instrument the thesis behaviourally

Recommendation intent was flat in this sample, so the trust argument needs transaction-frequency data on affected users against a matched control. Until that exists, the north star is a proposal rather than a validated metric.

WHAT THIS STUDY ESTABLISHED

The refund system works within regulated windows, the payment rails already carry the status data, and NPCI already requires in-app disputes. What is missing is communication at the moment of failure — which is the cheapest category of fix and the one nobody has shipped.

CLOSING

Thank you

The money comes back. The silence is what costs PhonePe.

01

THE SYSTEM ALREADY WORKS

RBI mandates auto-reversal within T+1 for UPI, with compensation for delay payable without a claim. In this study's survey, 8 of 9 affected users were resolved within three days.

02

THE DATA ALREADY ARRIVES

NPCI's UDIR framework pushes stage status and refund confirmation to the payer app, and already requires in-app dispute raising. None of the three proposals needs new bank integration.

03

ONLY THE TELLING IS MISSING

Yet only 1 of 9 affected users could find out what was happening unaided, and 4 contacted support for a process already running. That gap is the cheapest category of fix, and nobody has shipped it.

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ALSO IN THIS SUBMISSION

An interactive clickable prototype of all three solutions — the Live Money Trail, the refund countdown, and the pre-filled dispute flow — built in HTML, CSS and JavaScript.

Survey instrument and raw responses available on request.

This study is directional, not conclusive: 20 responses from a convenience sample, one composite persona, no merchant respondents, and a prototype that has not yet been user-tested. What it does establish is sourced from PhonePe's own filings, RBI circulars and NPCI documentation — and the next steps are written to test the parts that remain assumptions.